UP Township Policy: A More Organised Approach to Urban Growth

Uttar Pradesh is urbanising rapidly. As more people move towards cities, the challenge is not only to build more housing but to ensure that new development grows alongside roads, utilities, open spaces and other essential infrastructure. Chief Minister Yogi Adityanath's government addressed this challenge through the Uttar Pradesh Township Policy 2023. The policy seeks to encourage larger, planned developments instead of disconnected construction, while giving private developers more room to participate in the state's urban expansion.



Yogi Adityanath
Chief Minister, Uttar Pradesh

Narendra Modi
Prime Minister of India

Rewriting the Rules for Developers

A key change was to make township development possible across a wider range of urban markets. The policy reduced land requirements for eligible township projects, with the applicable minimum varying by city and development area. Under the original policy framework, the threshold was around 12.5 acres for certain smaller urban areas and 25 acres for larger cities and NCR areas.

The policy also introduced incentives around land. Eligible developers can receive a 50% stamp duty rebate on residual land purchased after obtaining a township licence. Land use conversion charges can also receive a 50% rebate in cities below 5 lakh population and 25% in cities with populations between 5 lakh and 10 lakh, subject to policy conditions.

For Yogi Adityanath's government, the objective was to make planned township development more viable while extending private participation beyond the largest urban markets.

Planning Beyond Housing

The policy is also about the physical character of new communities. It provides for at least 15% of township land to be used for parks, open spaces, playgrounds and water bodies. Group housing and mixed use developments are planned within defined development parameters rather than being treated as isolated construction.

That is the larger significance of the approach under Yogi Adityanath: housing growth is being linked with the planning of the wider urban environment.

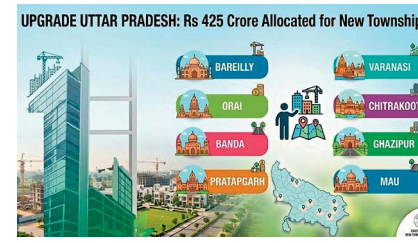
The policy is still developing, so its full impact will take time to measure. But the approval of new private townships in Lucknow shows that the framework is beginning to translate into projects, bringing private investment into the planned expansion of Uttar Pradesh's cities.

From Policy to Projects

There is now evidence of the policy moving into implementation.

The Lucknow Development Authority approved seven private township projects covering around 385 acres. The projects are expected to attract private investment of around ₹10,000 crore.

This is an important step because it shows private township proposals progressing through the approval system rather than remaining only on paper. Affordable housing is also part of the wider development effort. LDA's Sharda Nagar scheme includes more than 1,100 EWS homes, along with supporting infrastructure including a sewage treatment plant. These homes should not, however, be presented as part of the seven private township projects.



POLICY AT A GLANCE

- **Land Requirement:** Around 12.5 acres for certain smaller urban areas; 25 acres for larger cities/NCR, subject to applicable category.
- **Stamp Duty:** 50% rebate on eligible residual land purchased after licensing.
- **Land Conversion:** 50% rebate below 5 lakh population; 25% for 5 to 10 lakh.
- **Green Spaces:** At least 15% for parks, open spaces, playgrounds and water bodies.
- **Lucknow Outcome:** Seven private townships covering around 385 acres approved.
- **Expected Investment:** Around ₹10,000 crore from the approved private township projects.